Disruption_X

September 2025

How we're investing in the future of public safety

Rick Smith's journey to becoming a billionaire began with two funerals.

Two of his close high-school friends were shot and killed. He couldn't shake the absurdity of a world where we could chat with strangers thousands of miles away on internet message boards, yet the only reliable response to violence was a bullet.

So Rick did the most American thing imaginable. He went to his garage in the scorching Arizona heat and started building a product that would let police officers drop a suspect without pulling a trigger.

That crazy garage idea turned into one of the greatest stocks of the past 15 years. **Axon Enterprise (AXON)**, formerly TASER, has quietly outpaced Silicon Valley's icons.

Over the last 15 years, it's become a 130-bagger, making **Amazon (AMZN)**, **Apple (AAPL)**, **Microsoft (MSFT)**, **Google (GOOGL)**, and **Meta Platforms (META)** look like also-rans.

In this month's issue

And here's the good news, friends. We believe we've found the next Axon.

Public safety is a market most investors ignore…

But it's an enormous, recurring, budget-backed domain every city, county, and state must fund, year in and year out.

It's also something 99% of people care about and make decisions, like where to live, around. I'm the perfect example.

One big reason I (Stephen) left Ireland was what I call "value for money." Once you got past roughly 40 grand a year, you were sending about half your paycheck to the state.

I've always said I'll happily work from January to June to fund the system… if the streets are safe, the hospitals work, and the schools are awesome. When none of that shows up, you feel like you're paying five-star rates for a motel with cold showers.

A HUGE, important, yet ignored market led to Axon's opportunity.

Axon's first disruption was the TASER. You've likely seen TASERs, the bright yellow handheld "stun gun" that fires two tiny probes and delivers a brief electrical pulse that locks up muscles. It's a tool meant to end a dangerous moment without death. That's what real innovation looks like.

Through the early 2000s, TASERs went from novelty to standard-issue in many agencies, and the company went public in 2001.

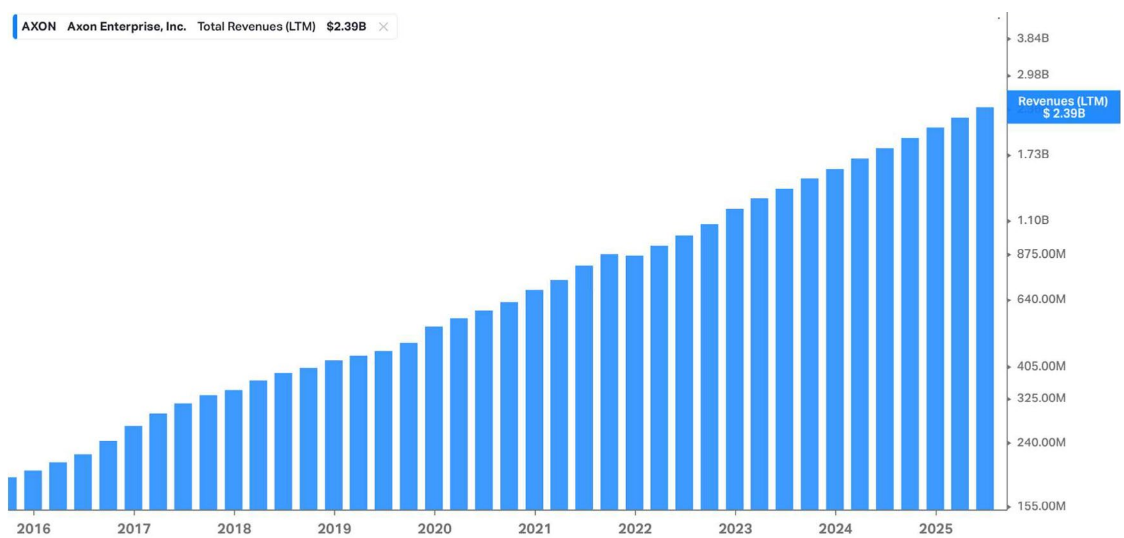
Then Axon changed the game again with clip-on police bodycams. I find it funny police bodycam videos have become one of the most popular genres of YouTube videos. Axon's evidence library is now bigger than Netflix by sheer hours of recorded video, with close to a million officers uploading hours of footage every day.

And where do you store all that video evidence? The video files get automatically uploaded to Axon Evidence, its secure cloud platform. It charges a monthly subscription fee, like Spotify, but for police video.

Axon basically became an operating system for policing. Its makes the devices that generate the data, then sells cloud storage that makes the data useful.

With a market cap soaring past $50 billion and revenue doubling over the last two years to $2.4 billion in 2024, Axon's turned public safety into one of the best businesses, and stocks, in America.

In fact, Axon might be the most impressive stock most investors have never heard of. It's grown revenues at 20%+ for over a decade.



Source: Koyfin

"This is great, but Axon is too big to buy now…"

You're right! And that's the point. We study Axon because it's the blueprint. And that's the lens we're using as we evaluate what we believe is the next Axon.

Disruption_X founding members know that before starting this advisory, we spent months studying the best-performing stocks in history. We found most possessed four core traits: small, fast-growing, profitable, platform businesses.

Axon is too big for our portfolio today. But 15 years ago, before it became a 130-bagger, Axon was exactly the kind of early-stage disrupter we hunt for in *Disruption_X*.

Back then, it was a $300 million company compounding revenue at 20%+… just starting to turn profitable… and quietly building a tech platform for police.

The platform trait is critical. We love small disruptors that become an operating layer others build on. Once Axon had sold its products to hundreds of police departments, it turned its Evidence.com platform into the go-to recordkeeping system for digital evidence.

Axon laid out the perfect money model for small, disruptive companies. The fact that it's too big for us to invest in now is exactly what we want to see from our winners.

Below, we'll introduce you to a company running the Axon playbook at the front door of schools, stadiums, hospitals, and theme parks. The details are different, but this little-known disruptor has what it takes to become the next 10-bagger… or more.

But before we get into our new stock recommendation, I wanted to share a special offer we've made available to you as a *Disruption_X* member.

If you missed the video I sent you yesterday, we're giving 50 of our premium members the chance to join *RiskHedge All-Access* and get every advisory we publish for one low price.

That's access to every expert here at RiskHedge… and all of our research… for an entire year.

Membership is available on a first-come, first-serve basis. Once all 50 slots are filled, the offer comes off the table.

Here's the invitation again for you to review.

Now, on to our latest stock pick…

This company is taking "slow" out of "security"

Who hasn't waited in a slow security line?

I could've just said "security line." "Slow" is redundant. It defines physical security screening today.

You know the drill: Shuffle along at a snail's pace for an hour. When you finally reach your destination's entrance, then it's time to empty your pockets to walk through a metal detector and wait around some more as a guard searches your bag.

We've come to accept that "slow" is simply part of "security" and "safety."

But it doesn't have to be.

Evolv Technologies Holdings' (EVLV) patented technology takes the "slow" out of "security" while *improving* public safety at the same time.

As you know, the traditional metal detectors you see at stadiums and other venues where large crowds gather can only process people one at a time—after they empty their pockets—creating frustrating lines.

They also can't tell a weapon apart from everyday metal items. So they generate constant false alarms—beeping at phones, keys, belt buckles, etc.—that result in hand-wanding, pat-downs, and bag searches.

This labor-intensive, time-consuming, and intrusive approach to security is often impractical for places like schools, theaters, workplaces, or theme parks, where you can't treat visitors like airport passengers every day.

As a result, many venues that *need* better security have avoided using legacy metal detectors at all. For example, 95% of US public schools do not have metal detectors despite the threat of weapons, because the available tools were too slow or disruptive to implement.

Evolv Express is the breakthrough solution to this problem.

It's a new kind of walk-through scanner—resembling a sleek pair of free-standing gate-like pillars—that uses a combination of advanced sensors and artificial intelligence (AI) to detect hidden weapons while people simply walk by at normal speed. There's no need to empty pockets or take off bags.

Using a mix of electromagnetic technology and computer vision, the system's sensors gather thousands of data points on each person. Its AI brain then instantly distinguishes true weapon threats like guns, improvised explosive devices, or tactical knives from harmless personal items like cell phones and keys.

It's smart enough to ignore your phone but flag a gun—even if concealed in a purse or jacket—by recognizing the specific shape, density, and other signatures of weapons.

When the system detects a potential threat, it immediately alerts security staff with an automated image from an integrated camera highlighting exactly where the suspicious object is on the person—for example, a red box around a pocket or bag in the live image.

That way, guards know *who* to check and *where*, avoiding random pat-downs. If no threat is found, folks just continue walking through at normal speed.

Note: Evolv's tech is not going to catch all weapons threats. No system will. But as you'll see, Evolv's system is getting better every day. And it's already been proven effective, as shown by high customer renewal rates and expansions.

You can catch more threats by increasing the system's sensitivity settings, but that will lead to more false alarms. Security is always going to be a balancing act: trying to prevent as much harm as possible while minimizing disruption to folks' everyday lives and remaining cost conscious.

The effect is transformative. At venues using Evolv Express, you'll see crowds moving along as if there were no security checkpoint at all. Only occasionally will you see someone pulled aside when the system spots something genuinely concerning.

One line using Evolv Express can screen up to 2,000 people per hour, which is about 10X faster than traditional metal detectors.

For example, Walt Disney World, which started adopting Evolv scanners in 2020 and now uses them at all its Florida theme parks and Disney Springs, reports a much smoother guest entry experience compared to the old bag-check lines.

At Lincoln Center in New York City, visitors now walk freely into performances while still being protected by Evolv's invisible shield.

And New England Patriots fans entering Gillette Stadium in Foxborough, Massachusetts can get to their seats faster and with less hassle thanks to Evolv's screening at the gates.

Some other big venues, organizations, and institutions that have already adopted Evolv's tech include:

- American Museum of Natural History
- Georgia Aquarium
- Hard Rock International
- Dollywood
- Six Flags
- The Biltmore Estate
- The MET
- City of Chattanooga

- Boston College
- Mercy Health Hospitals
- Mattel
- Atlanta Public Schools
- Chicago Cubs
- Houston Astros

Put simply, Evolv's technology makes security screening almost invisible while improving threat detection.

Much like how Axon brought policing into the internet age with connected cameras and cloud data, Evolv is bringing physical security screening into the 21st century with AI, sensors, and analytics.

Evolv is "transforming physical security from analog to digital," making venues safer and more convenient in the process.

More important, Evolv's systems get smarter over time. Every person who walks through one adds data that helps improve the AI's accuracy, allowing it to learn new threat signatures and reduce false alarms from benign objects.

Security has entered its subscription era

Since first launching its Evolv Express system in 2019, **Evolv has screened over 3 billion people in real-world conditions. And it now screens more than 3 million people every day.**

That's more people than the TSA screens on a daily basis, and it gives Evolv a massive and continuously growing proprietary dataset to refine its algorithms.

This creates a virtuous cycle of network-like effects: The more entrances Evolv protects, the more data it gathers and the better its AI detection becomes, which attracts more customers.

Just as Axon's huge library of video evidence became a moat for its policing platform, this data advantage acts as a powerful moat to keep would-be competitors at bay.

And just as Axon discovered a vast, often overlooked market in public safety, Evolv is addressing a similarly huge and under-penetrated market by securing all the places where crowds gather.

Think about all the different types of venues—outside of public transportation, which the system wasn't designed for—that sadly face weapons threats today: schools, office buildings, hospitals, industrial sites, entertainment venues, sports arenas, concert halls, amusement parks, places of worship, even the homes of high-net-worth individuals.

These are everyday locations where folks want to feel safe but don't want to be inconvenienced by airport-style screening. In the past, these venues could either install clunky metal detectors and accept the delays and hassles or do nothing and hope for the best.

Evolv's tech changes that equation, making comprehensive screening feasible in places it wasn't before. This unlocks a massive market the company estimates to be worth $20 billion in the US alone, with room to grow to $100 billion as the tech and applications expand.

In terms of physical locations, Evolv estimates that there are about 700,000 entry points (or "digital thresholds") in the US that could benefit from AI security screening.

To put that into perspective, Evolv protects roughly 7,000 entrances today—only about 1% of the identified need in the US. So there's tremendous growth potential as awareness builds.

In other words, Evolv is in the very early innings of tapping its market. Every large school district, every major hospital network, every sports team, every theme park, every corporate campus or big mall is a potential customer. And then there's the global market beyond the US, which is even larger.

Importantly, Evolv is already gaining traction in many high-profile venues, like the schools, stadiums, and theme parks I mentioned earlier. As each new success story is publicized, other organizations in that space—whether it's another school district, sports arena, or anything else—take notice and consider following suit.

This kind of land-and-expand dynamic, which Axon also enjoyed with police agencies monitoring each other, is fueling Evolv's growth.

One of the most compelling parallels between Axon and Evolv is how each leverages a platform business model with recurring revenue in a traditionally product-based industry.

Evolv may sell physical scanners, **but the company is not a one-and-done equipment vendor. It offers "Security-as-a-Service."**

Evolv's business is a combination of hardware, software, and ongoing support/analytics, all bundled into multi-year subscriptions.

In many cases, customers don't even buy the machines outright. Instead, they lease the Evolv Express units and pay an annual subscription fee for the AI software, cloud services, and maintenance that make the system run.

The company retains ownership of the hardware in these full-service subscription deals, upgrading or servicing it as needed, while the customer essentially pays for the security capability being delivered.

This business model provides a steady stream of growing, predictable, recurring revenue and creates sticky customers, because switching out the system would be quite disruptive once it's integrated into a venue's operations.

Even when customers choose to purchase the hardware upfront, they still must buy a multi-year software subscription to use it.

Evolv Express isn't a dumb metal detector, either. It's an intelligent device that runs Evolv's AI and connects to its cloud for updates and analytics. So a unit purchased by a customer still yields recurring SaaS-like revenue from the software license.

The Evolv "Security-as-a-Service" platform goes beyond just operating the scanners. Customers gain access to Evolv Insights, a cloud-based analytics dashboard that provides previously unattainable data on their venue's throughput, detection performance, and visitor flow patterns.

For example, a stadium security team can see real-time and historical data on how many people were screened at each gate, at what times, and what types of threats were detected. So they can identify choke points or inefficiencies and adjust staffing or lane configurations accordingly.

It's like how website analytics help optimize user traffic flow. But here, it's physical visitor flow through entrances.

Evolv's cloud also allows continuous software updates and remote management of the devices. If the AI learns to better distinguish between a concealed vape pen and a knife, for example, that improvement rolls out to all network-connected units via the cloud.

What's more, Evolv built open APIs and integrations that let its system work together with other security tech.

Evolv alerts can be fed into a venue's video management system or mass notification system, for example. So if Evolv flags a threat, it could trigger nearby cameras to focus on that person or send an automated alert to all on-site security personnel.

These sorts of integrations position Evolv's platform as a central hub in a broader security ecosystem. Just like how Axon's platform become a hub for police records, videos, sensors, and even third-party apps.

All these elements—multi-year subscription plans, cloud analytics, and integrations—create a sticky platform effect. Once a customer has deployed Evolv at their entries and integrated it into their security workflow, it becomes part of their operating fabric.

Renewing the service or expanding it is far more likely than ripping it out. And we're seeing that play out with robust renewal rates and follow-on orders from existing customers.

In the second quarter of 2025, net unit retention exceeded 100%, as over half of Evolv's booked business and annual recurring revenue came from expansions by current customers.

And many early adopters are already upgrading from the first-generation Evolv Express to the new model before their initial terms ends. When they upgrade, they sign new four-year commitments, effectively "resetting the clock" and extending the relationship.

This dynamic—similar to how Axon's police agency clients kept adding more cameras or software modules—indicates high customer satisfaction and deepening dependence on Evolv's platform.

But for Evolv to truly become "the next Axon," it must maintain an edge over the competition and stave off would-be imitators for years to come.

In other words, it must build a sustainable moat.

A moat that strengthens with every screening

The nature of Evolv's tech and its head start gives it several strong defensive advantages, as new entrants would have to catch up in both technology and trust.

First, Evolv's tech is protected and hard to replicate. The company has a portfolio of patents around its sensor fusion and AI detection methods.

Thanks to years of research and development, it's also solved the complex engineering challenge of high-throughput, AI-based screening at scale in the real world.

Competing systems can't copy the AI models because they're trained on Evolv's massive proprietary dataset, which continues to grow exponentially thanks to the 3 million folks Evolv screens per day, on average.

In security, reputation matters… a lot.

Evolv Express's coveted DHS SAFETY Act designation as a Qualified Anti-Terrorism Technology and its roster of big-name customers like **Walt Disney Co. (DIS)** and NFL stadiums give it credibility that would take years for any new would-be competitor to acquire.

In other words, Evolv Express is seen as the "gold standard" in this new category of AI-based touchless screening, just as Axon became the go-to name for police body cams.

What's more, as I alluded to earlier, Evolv benefits from powerful data-driven network effects. Every weapon signature it detects and every innocuous item it scans feeds into the continuous improvement of the AI.

With more than 3 billion screenings so far—and more than a billion added to that each year—Evolv has a huge lead when it comes to data.

In AI, more high-quality data means better models. So the company's data moat allows it to stay ahead on detection performance, which is the name of the game in security tech.

This is just like how Axon's trove of policing data and video became a strategic asset that enabled new AI features—like auto-redacting videos and automated report writing from footage—that others without the data couldn't match.

Evolv is likewise turning its continuous data pipeline into improved threat detection that only it can deliver at scale.

Another moat comes from the ecosystem and integrations Evolv has built. It's inked partnerships with major security integrators and channel partners like **Johnson Controls International PLC (JCI)**, **Motorola Solutions (MSI)**, and Securitas to embed its tech into broader security solutions.

These relationships extend Evolv's reach and make it part of a holistic security architecture competitors might not be plugged into. And Evolv's open APIs, which I mentioned earlier, allow third-party developers or customers to create applications on top of its system—something an upstart rival without a large installed base would have little incentive or ability to do.

In other words, Evolv is becoming the platform on which others standardize. The more that happens, the more inertia and the higher the switching costs for any customer to leave the Evolv ecosystem.

That's not to say Evolv has zero competition. There are certainly other companies seeking to capitalize on AI weapon detection, like Xtract One Technologies and ZeroEyes.

Plus, traditional security giants like **OSI Systems (OSIS)**, **ADT (ADT)**, and Johnson Controls could try to develop or acquire similar tech. But Evolv appears to be significantly ahead in this market for now.

Meanwhile, Evolv keeps innovating. In the fourth quarter of 2024, it introduced a new product called **Evolve eXpedite**, an autonomous, AI-powered, high-speed X-ray bag scanner that pairs with Evolv Express for venues where most visitors bring bags.

As Mike Ellenbogen, co-founder of Evolv, says:

> In venues with a large number of complex bags, the false alarm rate for Express or any modern personal inspection system can start to rise. In those cases, X-ray is an ideal sensor to screen those bags for threats.

But traditional X-ray systems rely on human operators to review every image to identify potential threats. This process can be slow and is prone to human error, because even the best-trained operators get tired and can miss things over the course of a full shift.

If your goal is to welcome a large number of people with lots of bags—without slowing them down—Evolve Xpedite is the perfect system.

Its fully automated red light/green light approach eliminates the need for an operator who's trained to interpret X-ray images, while also addressing the consistent challenge of maintaining focus over a long shift.

Evolve eXpedite was designed from the ground up with AI and computer vision in mind to autonomously detect concealed weapons in bags. It's specifically created to handle high-clutter environments and support the screening of large crowds with lots of bags.

Visitors just place their bags on the eXpedite conveyor belt while walking through Express. If the system doesn't alert, the belt continues moving, allowing them to retrieve their bags on the other side and keep moving.

If the system does see a potential threat, the green lights turn red, the conveyor belt stops, and the bag that's aligned with the red lights is the bag that contains the alert.

eXpedite was designed to leverage the advantages of AI to allow the conveyor to run at walking speed. So the system can screen lots of bags each hour with high detection performance and a low false-alarm rate.

By offering a unified system for people and bags, Evolv can cover more security needs and further differentiate itself.

Early demand for eXpedite has been strong. Since the company launched the product in Q4 of 2024, it's signed up 20 customers. One of these new customers ordered more than 100 eXpedite systems.

This is still peanuts compared to the 1,000-plus Evolv Express customers. But I expect eXpedite to contribute meaningfully to revenue growth in the coming quarters.

Evolv Technologies' path to profits

Evolv's recent performance shows a company hitting its stride after an "early adopter" phase, similar to Axon when it went from just selling Tasers to scaling up its platform.

The numbers tell the story:

In the second quarter of 2025, Evolv's revenue grew 29% year over year to $32.5 million. This marked the company's fifth straight quarter with +20% growth.

Management raised its full-year 2025 growth guidance on the Q2 call to between 27% and 30%, reflecting anticipated revenue of about $132 million to $135 million for the year.

Importantly, the underlying indicators of Evolv's subscription business remain healthy. Q2 annual recurring revenue (ARR) increased 27% year over year to $110.5 million. And the company expects to have at least 8,000 active subscriptions by the end of the year.

Meanwhile, the company's backlog of committed subscription and service business (measured by "Remaining Performance Obligations") stands at $270 million as of mid-2025, providing visibility into future revenue. Evolv expects to recognize more than $110 million of that total as revenue within the next three to four quarters.

The company added more than 60 customers in Q2 2025 alone, bringing the total to over 1,000 customers worldwide. This customer base includes everything from small schools to Fortune 500 companies, demonstrating the broad appeal of its weapons detection solutions.

Just as encouraging as the strong revenue growth is Evolv's path to profitability and positive cash flow, which validates that its business model can scale sustainably.

As a young company investing in growth, Evolv is not yet profitable on a net income (or earnings) basis. But in Q2 2025, it did achieve its third consecutive quarter of positive adjusted EBITDA (a measure of profitability).

It also generated positive cash flow from operations of $6.7 million in the trailing 12-month period, up from negative $38.8 million in the comparable period.

Gross profit margin had been around 58% since Q2 2024 but dipped to just under 50% in Q2 2025. No cause for concern here. The gross margin dip was expected as the company focuses more on direct sales, which recognize hardware costs upfront but will lead to higher long-term ARR and renewal value.

In other words, Evolv is optimizing the business for the long run, even if some quarterly accounting margins fluctuate. We like that.

It's important to note that no disruptive growth story is without its hiccups.

Axon had its share of early controversies, including debates over TASER safety and police body camera policies, which it successfully navigated and emerged from stronger.

Evolv has encountered some hurdles in its scale-up phase, too. But these issues have been addressed and are now largely in the rearview mirror as of August 2025.

One challenge was internal financial controls and sales practices, which led to an internal investigation beginning in late 2023 and the need to restate some financial statements.

To fix these issues, Evolv essentially overhauled its C-suite in 2024. By early 2025, it had a new CEO, CFO, Chief Accounting Officer, Chief Revenue Officer, General Counsel, and VP of supply chain.

In August 2025, the Department of Justice (DOJ) informed Evolv that the company is no longer the subject of investigation, which had been triggered by the internal control issues. The DOJ's closure of the matter with no action against the company is a great sign that the new management team has fixed things.

Another hurdle came from regulatory scrutiny of marketing claims. In 2023, the US Federal Trade Commission (FTC) looked into whether the company had overstated certain Evolv Express performance claims in marketing to schools.

Specifically, the FTC alleged Evolv's marketing implied that its AI could detect all guns with near-perfect accuracy, which the FTC viewed as unsupported.

Evolv's settlement of the FTC inquiry in late 2024 required the company to notify a subset of its school customers who signed on during a certain period that they had a 60-day window to cancel their four-year contract with Evolv if they felt the product didn't meet expectations.

This amounted to 65 customers with 237 Evolv Express systems. Importantly, 60 of these customers, or 92.3%, chose to stick with Evolv and many have since expanded their Express deployments.

Finally, Evolv faced a shareholder class-action lawsuit in the wake of the above issues. This is typical when a stock dips after bad news. Investors sued alleging they were misled by the company's prior management.

Rather than drag out costly litigation, Evolv reached a settlement in principle in August 2025 to resolve the suit for $15 million. What's most important about the settlement is that Evolv's direct financial cost is expected to be no more than $1 million, because the company's insurance will pay most of it.

In short, by August 2025, Evolv had cleared the deck of these internal, regulatory, and legal overhangs. The company faced its "adolescent" growing pains and emerged stronger and more mature.

Now, with clean financials, strong internal governance, and its reputation intact among customers, the company stands on firm footing to pursue aggressive growth.

Essentially, Evolv in late 2025 is similar to Axon in its late-2000s phase: the early controversies behind it, the model proven, and a huge growth trajectory ahead.

I think Evolv can grow revenue at a compound annual rate of at least 30% for the next few years. Using that forecasted growth rate, I calculate a GARP Quotient of 0.40.

That's firmly in the "Great" tier we talked about in *The Growth Stock Anomaly* special report. It indicates the stock is attractively priced based on its growth expectations.

Action to take: Buy Evolv Technologies Holdings (EVLV) at current market prices. Set a 75% hard stop.

4 fast-growing AI infrastructure stocks

We hold two AI infrastructure stocks in our *Disruption_X* portfolio—**Digi Power X (DGXX)** and **Credo Technology Group Holding Ltd. (CRDO)**—to capitalize on this lucrative buildout.

We hold several more such stocks in our *Disruption Investor* portfolio, and we even created our own three-stock AI infrastructure "ETF" in September's issue of *Disruption Investor*.

The four companies below also stand to benefit from this AI infrastructure buildout in various ways. While we're not recommending any of them today, they're interesting stocks that are on our radar and worth knowing about.

As a reminder, the stocks we target have a market cap between $200 million and $20 billion. These stocks trade on American exchanges, but they aren't necessarily American companies.

1. Alpha & Omega Semiconductor Ltd. (AOSL): Provides a broad range of power management chips used in everything from AI data centers and servers to personal computers and TVs.

Alpha & Omega Semiconductor's new 60A eFuse is a compact, high-performance power protection device designed for servers, data centers, and telecom infrastructure. It safeguards critical power rails by monitoring and limiting current during faults, helping avoid costly downtime and damage.

Revenue growth hasn't been stellar recently, but we expect it to pick up steam in the coming quarters.

2. Clearfield Inc. (CLFD): Plays a pivotal role in the AI infrastructure buildout by supplying fiber optic solutions that enable the high-speed connectivity critical for AI data centers and cloud computing.

Meanwhile, the company's fiber management systems, enclosures, and assemblies support fiber-to-the-home and 5G mobile networks, helping these configurations meet the massive data transfer demands of AI applications.

Clearfield serves enterprise-level clients and entire communities. For example, it's working with Hawaiian Telcom to make Hawaii the first fully fiber-connected state.

Clearfield could capture a lucrative slice of AI infrastructure spending—both from residential and business clients—because its modular fiber solutions are designed for the "rapid-deployment" and scalability needed in the AI age.

Like with AOSL, Clearfield's revenue growth hasn't been stellar recently, but we expect it to pick up steam in the coming quarters.

3. Nebius Group NV (NBIS): Nebius builds massive AI clusters it rents out to customers. With seven large-scale clusters of **Nvidia (NVDA)** GPUs deployed across Europe and the US, Nebius can deliver cloud computing power for a broad range of AI developers, from tiny startups to Mag 7-level enterprises.

The company is aggressively scaling its infrastructure to meet the booming demand for AI compute. It's trying to secure more than 1 gigawatt of power capacity by the end of 2026.

This "AI Platform-as-a Service" business is lucrative, as shown by Nebius' Q2 2025 revenue growth of 322% year over year to $105.1 million. Nebius also recently secured a massive $17.4 billion multi-year GPU infrastructure deal with Microsoft.

4. POET Technologies (POET): Poet Technologies is an AI infrastructure stock that's been on my radar for a few years. The company's "Optical Interposers" improve fiber optics communication by making the optical parts more integrated, cheaper, and scalable for high-speed AI infrastructure—not replacing fiber optics itself but enhancing its practical use in data centers.

That said, we must point out that the only reason POET's recent revenue growth has been so astounding—over 300% in the past 12 months—is because the base is so small. In the past year, for example, revenue increased from $0.116 million to $0.468 million.

So, while I love the company's tech, its revenue base just isn't significant enough to take very seriously yet.

4 Fast-Growing AI Infrastructure Stocks

Rank	Ticker	Name	Description	Market Cap (billions $)	Stock Price	Revenue Growth	GARP Quotient
1	AOSL	Alpha and Omega Semiconductor Ltd.	Power management chips	1.21	$28.75	5.9%	0.00
2	CLFD	Clearfield Inc.	Modular fiber optics	0.55	$33.16	5.7%	0.00
3	NBIS	Nebius Group NV	GPU clusters	7.20	$90.49	402.5%	4.23
4	POET	POET Technologies Inc.	Fiber optics	0.35	$4.95	302.3%	111.39

For the most up-to-date guidance on our current positions, click here to view the portfolio online.

Chris Wood and Stephen McBride

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